

15

RECAST INFLATION TARGETING

► Does India need a new inflation targeting framework that would serve the country better? The current flexible inflation targeting (FIT) regime sets a retail inflation target of 4% with a tolerance band of 2 percentage points either side. With households spending less on food and a new consumer price index in the works, inflation targeting by the RBI's monetary policy committee is expected to get even better. Measures to ensure banks transmit repo rates effectively could bring in further efficiencies.

23

14

EXPEDITE DISINVESTMENT AND STRATEGIC SALES

► Governments over last 20-odd years have followed their own policies on disinvestment of public sector enterprises, often depending on political and financial requirements of the day. A more proactive approach to disinvestment of state-owned PSUs and a clear policy on privatisation of loss-making PSUs will improve efficiency of these firms and boost government revenues. Much has been written and said about government not being in the business of doing business. Yet, this continues.

16

FOSTER A RESEARCH-NIRBHAR INDIA

► ISRO's space missions and the recent Operation Sindoor have shown how domestic research and development has put Indian technology on the global stage. But funding lags ambitions and is seen as the key challenge in developing homegrown technology. Gross expenditure on R&D rose to ₹1.27 lakh crore in FY21, the Economic Survey had said, noting that it's still just 0.64% of GDP. The Cabinet has approved a ₹1 lakh crore Research Development and Innovation Scheme, but funding must rise to 2% of GDP. Here, the private sector needs to chip in, too.

OVERHAUL THE IBC

► With most cases under the landmark Insolvency and Bankruptcy Code (IBC) dragging beyond the stipulated 180 days, it might be time to relook at the law that is credited with changing the attitude of borrowers towards loan repayments. The law has been amended regularly in tune with evolving trends, but with concerns over languishing cases and low recoveries, it might be time for a fresh relook to give it more teeth and ensure time-bound resolutions.

